

A. General

1. The FCC issues Purchase Cards only to FCC Full-Time Employees(FTEs) upon request by their Bureau/Office Chief, Designee, or the Employee's Manager. The FCC has set controls on Purchase Cards which restrict the Merchants or groups of Merchants that can process charges to ensure the Purchase Cards are used to purchase authorized goods and services. Every Purchase Card also has a Single Purchase Limit (SPL), which may be lower than the Micro-Purchase Threshold, currently \$15,000.00.
2. The FCC does not issue Purchase Cards to employees in the Office of Managing Director (OMD) Financial Operations Center (FOC) (which administers the agency's charge card programs), or those in the Offices of the Chairman (OCH) and Commissioners. Employees in other OMD Offices such as Administrative Operations(AO), Human Resources Management (HRM), Enterprise Acquisition Center (EAC), Office of the Chief Information Officer (ITC), Office of the Secretary (OS), and Performance & Program Management (PPM) are eligible to hold Purchase Cards.
3. Purchase card nominees and Approving Official nominees must complete and sign *Form A-498 FCC Purchase Cardholder and Approving Official Nomination Form* prior to issuance of the purchase card or certification as an AO. Purchase card nominees and AO nominees shall certify on *Form A-498* that they have read and understand the policies and procedures contained in this directive and the consequences of engaging in or approving unauthorized actions.
4. Purchase card nominees and AO nominees must complete the General Services Administration (GSA) purchase card web-based training prior to issuance of the purchase card or certification as an AO. Certificates of Completion of the training must be submitted to the APC prior to issuance of the purchase card. All cardholders and AOs are required to take GSA's web-based training as refresher training every three (3) years or as directed by the APC, and to provide certification of training to the APC. All cardholders and AOs will adhere to the agency's anti-fraud training requirements set forth in FCC Directive FCCINST 1102.6 or its successor, "Policy for Detecting and Deterring Fraud and Promoting Ethical Conduct within the Federal Communications Commission."
5. Coinciding with each agency-wide refresher training initiative, the APC will review purchase card usage to identify inactive accounts. Accounts with no activity within the preceding three (3) year period will be considered inactive. The APC will provide a list of inactive accounts to each Bureau/Office, at which time the Bureau/Office must confirm the continued need for each inactive account. Failure to provide the requested confirmation will result in the inactive account's suspension until confirmation is received.
6. The purchase card shall be used in preference to other methods of procurement for the acquisition of supplies and services that do not exceed the micro-purchase threshold (MPT) and are not prohibited by Sections 9 and 10 of this directive.
7. Government purchase card purchases are exempt from state sales tax. The Commission's purchase cards have the phrase "U.S. Government Tax Exempt" embossed on the front of the card. If a merchant refuses to honor the card's state sales tax exemption at the point of

sale, the cardholder shall not make the purchase and should instead seek a merchant who will honor the exemption.

Cardholders should ensure that their purchases have been exempted from state sales tax at the point of sale, including in-store purchases, online purchases, and purchases by phone. If state sales tax is inadvertently charged on a purchase, cardholders are responsible for contacting the merchant to seek a credit for the charged sales tax. Cardholders are responsible for documenting their efforts to seek a credit for the charged sales tax.

8. Cardholders shall not agree to terms and conditions that involve: recurring payments; automatic renewal; provision of services for an unlimited duration; indemnification by the Government or other terms exposing the agency to unlimited or indefinite liability (e.g., payment of attorneys' fees) or any other terms that would be in violation of fiscal law or appropriations statutes applicable to the FCC. Cardholders are responsible for reviewing terms and conditions applicable to any purchase before making the purchase to ensure that the terms and conditions contain none of the types of provisions noted in this paragraph. Cardholders shall refer all agreements that include such provisions to the Enterprise Acquisition Center (EAC) *prior to making any commitment on behalf of the Government* so that EAC can establish a contract that addresses the objectionable terms. EAC shall consult with the Office of General Council (OGC) regarding such agreements as necessary.

Note on indemnification clauses: Micro-purchases of goods and services by and for the Government are subject to a FAR regulation that renders vendor indemnification provisions unenforceable against the Government, thus preventing an ADA violation due solely to that provision. See FAR 52.232-39, *Unenforceability of Unauthorized Obligations*; and FAR 13.202, *Unenforceability of Unauthorized Obligations in Micro-Purchases*. The FAR regulation, however, does not protect the Government against the other types of problematic provisions noted above. Nor does it protect the Government from indemnification provisions in agreements that are not covered by the FAR, such as online terms of use for a free service. Therefore, FCC employees must consult with EAC in the event the employee discovers an indemnification provision in any vendor agreement to determine if the FAR regulation is applicable or if the employee should forgo use of the vendor in question.

9. Cardholders must consider the price of goods or services being purchased and only make a purchase if the price is reasonable.
10. Cardholders are strongly discouraged from paying premium shipping charges for expedited shipping or rush delivery of their purchases. Cardholders should plan their purchase needs so that expedited shipping is not necessary. Repeated use of premium shipping or rush delivery may be deemed to be charge card abuse, as determined by the APC, and could lead to administrative action.
11. No requisition or purchase request shall be required from the Bureaus/Offices for card purchases unless the purchase is made by EAC on behalf of a Bureau/Office.
12. Cardholders shall adhere to the priorities for use of mandatory Government sources in FAR Part 8, which sets forth requirements to acquire supplies and services from priority sources. Other sources may be considered for use only after the priority sources have been considered for fulfilling requirements. Any questions regarding use of mandatory sources should be directed to EAC.

B. Single Transaction Limits and Monthly Credit Limits

1. The default single transaction limit for each FCC purchase cardholder shall be set at \$15,000. Cardholders who are contracting officers in EAC are eligible for a higher single transaction limit, which may exceed the MPT. For these cardholders, their single transaction limit will be determined at the time of their initial purchase card application and may be set at an amount no higher than their warrant authority.

In addition, cardholders other than EAC contracting officers may be granted a single transaction limit up to the MPT on a case-by-case basis. The APC in FCC Financial Operations may grant a permanent increase of the single transaction limit up to the MPT for a purchase cardholder upon written request and justification provided by the respective cardholder's AO. The AO's justification should explain the cardholder's demonstrated need for the increase.

2. The purchase card is not to be used to make purchases in excess of the cardholder's single transaction limit.
3. The default monthly credit limit for each FCC purchase cardholder is \$15,000. Cardholders who are contracting officers in EAC who have a single transaction limit that exceeds the MPT will be granted a monthly credit limit at an amount determined by their AO to reasonably accommodate their higher single transaction limit.
4. A cardholder's monthly credit limit may be increased by the APC upon written request from the cardholder's AO via *FCC Form A-1204 Request for Monthly Credit Limit Increase*. The circumstances for the credit limit increase and the length of time for which the limit is to be increased (i.e., on a temporary or permanent basis) shall be retained by the APC. The APC will only grant permanent increases to cardholders in OMD, as OMD is the FCC's service organization that makes purchases in support of the entire agency.
5. Permanent monthly credit limit increases shall be reviewed by the APC on a periodic basis to determine if the higher limits are still required.

C. Reconciliation of Statements of Accounts

1. Cardholders shall reconcile their monthly SOA received from the contractor bank within seven (7) workdays after the end of the billing cycle. Upon reconciling the SOA, the cardholder must affix a dated signature and printed name on the reconciled SOA and forward it to his/her AO for review.
2. AOs shall review each reconciled SOA received from their purchase cardholders within ten (10) workdays after the end of the billing cycle. Upon review, the AO must affix a dated signature and printed name on the reconciled SOA. The AO then must forward the reconciled SOA to Financial Operations Center (FOC), Revenue and Disbursement Group (RDG)/Travel and Operations Group (TOG).
3. When a cardholder uses his/her card to order or pay for goods or services to be accepted or first used for the Government by another employee, the cardholder may not reconcile his/her SOA until they have obtained the signature and date of that other employee on the invoice. Only then is it proper for the purchase cardholder to present the SOA to his/her

AO for reconciliation.

4. Certification Clause for reconciled SOAs: By affixing the required dated signature and printed name on the reconciled SOA, the cardholder and AO are certifying that the items listed on the SOA:
 - (1) Are correct and proper for payment;
 - (2) That funds were available from the appropriate account prior to purchase;
 - (3) The payment was or will be legal, proper, and correct, and that payment complies with all agency and government-wide policies and procedures related to purchase card use;
 - (4) The cardholder and AO understand that transactions on the reconciled SOA may be subject to audit or inspection.

Any exceptions to the Certification Clause must be noted on the SOA by the cardholder or AO, with the remarks being initialed and dated.

D. Records Retention

Cardholders shall retain supporting documentation for purchases for a period of six (6) years. Documentation shall be accurate and complete to fully support each purchase card transaction.

Supporting documentation for each purchase, at a minimum, must include:

- A reconciled copy of the SOA, signed and dated by the cardholder and the AO;
- A reference number for the funding document (MOC, TG, etc.);
- A copy of a procurement authorization approved in advance by the AO;
- A copy of any signed agreement or contract involved in the transaction [Note: See Section 6.A.8 above regarding terms and conditions that cardholders cannot accept.];
- A copy of any document acknowledging receipt and acceptability of the goods or service(s);
- A copy of the invoice signed and dated by the purchaser (if other than the cardholder). Invoices for products purchased must provide an adequate description of the merchandise. Invoices for services rendered must provide an adequate description of the scope of service and the number of vendor hours worked (if labor charges apply).

Additional supporting documentation shall be retained for the following scenarios:

- (1) Payment of Approved Training: Cardholders paying for approved training shall retain a copy of the trainee's *SF-182 Authorization, Agreement and Certification of Training*.
- (2) Payment of Conference Registration: Cardholders paying for approved conference registration charges or fees, including charges or fees to attend recruitment events, shall retain a copy of the conference attendee's *SF-182 Authorization, Agreement and Certification of Training*, if an *SF-182* was required to be completed as part of the conference registration.
- (3) PayPal Transactions: Cardholders who purchase from a merchant who uses a third-party payment processor (e.g., PayPal, iBill) shall maintain documentation of the merchant,

including merchant point of contact and/or telephone number, the name of the third-party payment processor, the amount of the transaction and a brief statement explaining why it was necessary to purchase the product or service from that merchant. It may be difficult to reconcile such purchases because the transaction may appear on the cardholder's SOA under the name of the third-party payment processor instead of the merchant name.

(4) Purchase of Information Technology (IT) Hardware: Cardholders shall retain all correspondence with their IT Intrapreneur or other FCC Information Technology Center (ITC) staff that shows approval to make the purchase, as well as any forms that ITC required to be completed for the purchase.

Cardholders must recognize and maintain the high level of integrity required by the FCC's purchase card program and ensure that they receive and retain supporting documentation for their purchases, as described above. If a cardholder's SOA is missing, or adequate supporting documentation is lacking or has not been provided for an audit or review of selected transactions, the cardholder's standing in the purchase card program will be subject to review by the APC. Such review may, among other appropriate actions, result in temporary suspension of the cardholder's account or expulsion of the cardholder from the program.

E. Cardholder Review

1. Cardholders shall be subject to periodic and/or random reviews of their purchase card transactions and purchase practices by the APC, independent auditors working on behalf of Financial Operations, the FCC Office of Inspector General (OIG), and other federal entities charged with purchase card audits and investigations. Cardholders must fully comply with such reviews, audits, and investigations by providing in a timely manner all supporting documentation and record(s) of purchases that are subject to review.
2. Upon review, audit, or inspection, cardholders are directly responsible for furnishing copies of their reconciled SOAs and all other supporting documentation, as stated in Section 6.D, to auditors and reviewers of the purchase card program. Cardholders should not forward such document requests to a third-party in their organization, nor should they refer the reviewer/auditor to a centralized source. While copies of the cardholder's reconciled SOAs and supporting documentation are permitted to be centralized in any manner suitable to their organization, the cardholder is ultimately responsible for compliance with the reviewer's or auditor's request for documentation.

7. RESPONSIBILITIES:

- A. Managing Director: The Managing Director has agency-level responsibility for the administrative management of the FCC's purchase card program.
- B. Chief Financial Officer (CFO): The CFO is responsible for ensuring timely receipt of reconciled SOAs from AOs, for ensuring all reconciled purchase card transaction data is entered into the Commission's core financial accounting system, for distributing charges to correct financial and budgetary accounts, and for paying the purchase card contractor bank.
- C. Bureau and Office Chiefs: Bureau and Office Chiefs who authorize personnel to receive and use a government purchase are responsible for:
 1. Nominating cardholders and AOs for their respective organizations;

2. Ensuring cardholders comply with all applicable regulations and procedures by promoting an environment that precludes cardholders from being pressured to make unauthorized purchases or to perform careless transactions, and permitting cardholders and AOs sufficient time to perform their purchase card responsibilities;
3. Ensuring that budget allocations are sufficient to cover purchase card transactions, and instituting and maintaining appropriate procurement controls; assigning responsible, trained employees to procurement-related activities; and ensuring compliance with federal statutes and regulations, including the Anti-Deficiency Act, 31 U.S.C. §§ 1341, 1342, and 1512;
4. Monitoring cardholder and AO performance and periodically reviewing cardholder and AO assignments to verify continued participation of individuals in the program;
5. Ensuring there is an appropriate cardholder/AO relationship to determine independence and separation of responsibilities, that the chain of command is appropriate for the transaction approval process, and that the cardholder and AO are cognizant of their fiduciary responsibilities and potential liability;
6. Ensuring that cardholders reconcile their SOAs and forward them to their AO, and that AOs submit the reconciled SOAs to Financial Operations, TOG, in a timely manner as prescribed by agency purchase card policy;
7. Establishing a review process that ensures that procedures are being applied consistently, and following up and bringing to closure all reports of deficiencies in purchase card use within their organizations;
8. Taking appropriate disciplinary or adverse action in conjunction with Human Resources Labor Relations and Performance Management in cases of purchase card fraud/misuse; and
9. Providing changes in cardholder status to the APC, including terminations and changes of cardholders, to ensure accurate and current records.

- D. Agency Program Coordinator (APC): The APC, as the agency's charge card manager, is responsible for oversight of the FCC's purchase card program, including its day-to-day operations. The APC establishes and maintains operational procedures and guidelines; serves as the liaison between the FCC and the contractor bank; serves as the focal point for coordination of purchase card applications; implements and monitors compliance with required training for cardholders, AOs and other entities as required; issues and destroys cards; opens and closes accounts; and generates reports to detect fraud and abuse/misuse within the program. Contractor employees, temporary employees, and interns shall not be appointed as APCs.
- E. Approving Official (AO): The AO is responsible for oversight of the purchase card activity of cardholders under his or her authority. The AO may be the cardholder's immediate supervisor, or a higher-level official in the cardholder's chain of command. A cardholder cannot be their own AO; nor can an AO be a subordinate of a cardholder. Contractor employees, temporary employees, and interns shall not be appointed as AOs.

Each AO shall:

1. Submit a certificate of completion of cardholder training (the same training required of purchase cardholder nominees) to the APC;
2. Provide written authorization (such as through a memo, note, or e-mail) to the cardholder for each purchase card transaction before the purchase is made;
3. Validate the receipt of items purchased, as applicable, prior to the cardholder's receipt and shall affix his/her signature on the receipt or invoice received with the shipment;
4. Review and reconcile the cardholder(s)'s monthly SOAs within ten (10) workdays after the end of the billing cycle to verify that all transactions made with the purchase card were legal, proper, correct and necessary government purchases in accordance with the FAR and all other governing agency policy and procedure. Upon reconciling the SOA, the AO affixes his/her signature and printed name and date of certification that charges are for purchases that have been authorized and made in accordance with the FAR and other agency and governmentwide policy and procedure, and then forwards the reconciled SOA to FOC/RDG/TOG;
5. Serve as a liaison with the APC and FOC/RDG/TOG;
6. Assist the cardholder in resolving disputed payments;
7. Submit a written request via *FCC Form A-1204 Request for Monthly Credit Limit Increase* to the APC for any monthly purchase limit increase for a cardholder;
8. Direct the APC in writing (may be via email) to cancel the card of a cardholder who is leaving the Commission; and
9. Ensure that each cardholder has a copy of these and other required procedures and that the cardholder uses and demonstrates an understanding of the requirements for use of the government purchase card.

F. Cardholder: The cardholder has primary responsibility for the card's proper use. The cardholder is responsible for maintaining custody of the purchase card and for making purchases in accordance with procedures contained in this directive. Each cardholder shall:

1. Once nominated to be a cardholder, submit a completed bank card application form to FOC, RDG/TOG for submission to the contractor bank, a certificate of completion of cardholder training, and completed *Form A-498 FCC Purchase Cardholder and Approving Official Nomination Form* signed by their Bureau/Office Chief (or Assistant Bureau Chief (ABC) for Management if applicable) and their AO. Cardholders may not make purchases until they have completed the required purchase card training under the auspices of the APC;
2. Complete all required subsequent cardholder training, including refresher training. Cardholders must ensure their training certificates are available for review as requested by the APC, AO, or auditors;
3. Maintain the physical security of the card. If the card is lost or stolen, the cardholder must immediately notify the purchase card contracting bank, the AO, and the APC;

4. Obtain written authorization from the AO for each purchase before making the purchase. A memo, note, or email from the AO to the cardholder will suffice;
5. Ensure availability of funds prior to initiating a purchase with the card. Use of the card for a purchase without first ensuring the availability of funds to pay for the purchase may result in an Anti-Deficiency Act violation;
6. Complete and attach *Section 508 Determination and Findings for Purchase Requests Form* if the item is covered by the accessibility regulations affecting IT products and services;
7. Complete all other FCC purchase card-related form(s) for each transaction, as instructed by the cardholder's AO. Aside from the *Section 508 Determinations and Findings for Purchase Requests Form* and a reconciled SOA signed and dated by cardholder and AO, the agency does not require any other forms to be completed to support the purchase card transaction. AOs, at their discretion, however, may determine the need for their cardholders to complete form(s) listed in Section 16 of this directive. Cardholders may also choose to voluntarily complete any of those forms in order to manage and organize their purchase card activity;
8. Reconcile the monthly SOA received from the contractor bank within seven (7) workdays after the end of the billing cycle. Upon reconciling the SOA, the cardholder must affix a dated signature and printed name on the reconciled SOA and forward it to the AO for review;
9. Retain copies of each reconciled SOA, as well as all supporting documentation for purchase transactions for a period of six (6) years after final payment;
10. Prior to reassignment to another FCC organization or upon leaving the agency, notify the APC;
11. Upon leaving the agency, transfer purchase card records and supporting documentation to the AO upon cancellation of the account, or separation from the agency. Purchase card files are to be available for review even after departure of the cardholder or cancellation of account; and
12. Adhere to the rule that, although the government purchase card bears the cardholder's name, the card shall be used only for authorized U.S. government purchases or payments. Cardholders have an ethical and legal obligation to not knowingly make unauthorized commitments or promises of any kind purporting to bind the Government, and to protect and conserve Federal property and not use it for other than authorized activities. Cardholders who make unauthorized purchases, allow others to use the card, or carelessly use their purchase card, may be liable to the government for the total dollar amount of unauthorized purchases made in connection with the misuse or negligence. The cardholder may also be subject to criminal, disciplinary, or adverse action under FCC directives or regulations, and other applicable federal law.

8. SPAN OF CONTROL FOR AGENCY PROGRAM COORDINATORS AND APPROVING OFFICIALS:

As an internal management control, APCs and AOs must have spans of control that do not exceed levels that allow them to carry out their duties and responsibilities accurately and completely.

(as defined in this directive) and non-compliance with policies and procedures in this directive (for example, being non-responsive to a transaction review, splitting a purchase requirement, or being untimely with statement reconciliations) may result in temporary suspension of card privileges or revocation of AO authority by the APC until compliance is observed. The APC may also require the cardholder or AO to complete refresher training before restoring card privileges or AO authority. The APC will report purchase card abuse, misuse, and non-compliance to the cardholder's AO or to the AO's immediate supervisor. Repeated instances of abuse, misuse, or non-compliance will result in permanent closure of purchase card privileges or revocation of AO authority, as determined by the APC.

- C. Criminal, Disciplinary, and Adverse Actions: Intentional misuse of the purchase card will be considered an attempt to commit fraud against the U.S. Government. Purchase card misuse (as defined in this directive) or fraud will result in permanent closure of purchase card privileges or revocation of AO authority, and may result in one or more of the additional following consequences: notation in the employee's personnel file and/or performance evaluation; counseling; reprimand; suspension of employment; termination of employment; or criminal prosecution. For example, the individual may be subject to prosecution for a felony under 18 U.S.C. § 287, and subject to imprisonment of not more than 5 years, or a criminal fine under 18 U.S.C. § 3571 (usually not more than \$250,000), or both.
- D. Cardholders who intentionally misuse their purchase cards may be held personally liable to the Government for the amount of any unauthorized transactions, plus interest and debt collection fees (through salary offset or otherwise) and may, under certain provisions of criminal law, be required to pay a fine that is twice as much as the loss, in addition to other administrative, civil, and criminal liability or penalties. AOs or others who collude with cardholders to misuse the card or to commit fraud, or who use their position or authority to cause misuse of the card, may also be subject to the criminal, disciplinary, and adverse actions above.
- E. The APC will report purchase card misuse or fraud to the cardholder's or AO's immediate supervisor, (or ABC if applicable), the Chief of Human Resources Management Labor Relations and Performance Management, and the OIG for investigation and appropriate actions. If disciplinary or adverse actions are proposed, these actions will follow the normal progression through Human Resources as stated in the Basic Negotiated Agreement (for bargaining unit employees), Article 35 (Disciplinary Actions) and Article 36 (Adverse Actions) and the FCC Personnel Manual (for non-bargaining unit employees), Chapter 751 (Disciplinary Actions) and Chapter 752 (Adverse Actions), which may in appropriate cases include dismissal.

12. DISPUTING A CHARGE:

- A. A transaction dispute is a disagreement between the cardholder and the merchant with respect to a transaction. The most prevalent dispute is an unauthorized order, but other examples include credit not received, alteration of amount charged, duplicate processing, and charges for orders that were cancelled.

Cardholders should first attempt to resolve the disputed transaction directly with the merchant. If unable to resolve the dispute with the merchant, the cardholder shall initiate a dispute with the purchase card contractor bank, in the manner and within the time prescribed in the applicable Government-wide purchase card contract, but in any event

within 90-calendar days from the date that the charge first appeared on the cardholder's SOA. Failure to protect the government's interest by timely initiating disputes can result in administrative and/or disciplinary or adverse action. Cardholders shall track disputes to completion.

Before disputing a charge:

1. Review the receipts. For example, the transaction in question may have posted to the SOA with a different merchant name.
 2. If the cardholder's research confirms this is a dispute, the cardholder shall contact the merchant in an attempt to resolve the disputed charge. Cardholders shall document the actions taken to resolve the issue.
 3. If unable to resolve the dispute with the merchant, the cardholder shall immediately proceed with a dispute request with the purchase card contractor bank.
- B. Disputes regarding shipping charges and taxes can only be resolved with the merchant. If these charges are disputed, or should not have occurred, the cardholder is responsible for obtaining a credit from the merchant. Shipping and tax charges are not disputable with the purchase card contractor bank.

13. CARD SECURITY:

Cardholders are responsible for safeguarding their purchase card and account number at all times. When not in use, the card should be kept in a locked file cabinet, safe, or other securely locked area. The Commission is not liable for any purchase card transaction made by a person other than the designated user for that card. The cardholder shall immediately report lost or stolen purchase cards to the purchase card contractor bank and notify both the AO and the APC.

14. SEPARATION OR TRANSFER OF CARDHOLDER OR APPROVING OFFICIAL:

- A. Cardholder: If the cardholder transfers within the agency or separates from the agency, prior notice shall be given to the APC by the cardholder's AO or Bureau/Office Chief (or ABC if applicable). The cardholder shall promptly (and before separation or transfer) provide all of their purchase card records and supporting documentation to their AO and surrender their purchase card to their AO or the APC.

When a cardholder transfers or separates prior to the availability of their final SOA—and the cardholder is hence unable to sign and date the reconciled SOA—the AO shall note this on the cardholder's final reconciled SOA.

Cancellation of a cardholder's account results in the cancellation of the cardholder's delegation of procurement authority. No one other than the individual whose name is printed on the card is authorized to use the card.

- B. AO: Upon the separation or transfer of an AO, a new AO will be designated by the appropriate Bureau/Office Chief (or ABC if applicable) to assume the duties of the previous AO. This change in official designation shall be sent in writing to the APC.
- C. APC: Upon being notified about a cardholder's transfer or separation from the agency, the APC shall close the cardholder's account.